



Stock price movements take place for a variety of reasons and the investor is vulnerable to a host of uncertainties. Yet he is willing to take the risk. Here people are not looking at the fundamentals of a company. They are looking at the stock price going up because of probable factors, such as the fortunes of the company changing, expectations of higher profits, a technological breakthrough, etc. They buy and sell stocks on information or an opinion or a rumour. The idea is to benefit from a price movement. The inherent gambling instinct in a human being is responsible for the huge turnover in this kind of speculation. Speculation per se is gambling. In the stock markets the other name for speculation is trading. It gives some credibility to the process and also has a differential tax treatment (the basic difference between speculation and trading is that in the former no delivery of the stocks is taken and in trading the delivery is effected).

The capital gains model is based on the premise that stock markets always witness bull and bear phases; one follows the other. For speculators and traders the trick is to take advantage of the ups and downs of the market. Volatile stock price movements excite them. They follow the short-term approach. They strongly believe that since markets always fluctuate, a long-term strategy is useless. In fact, during the tech boom I interacted with some experts and fund managers who held the firm view that the old ways of investing were out as the rules of the game had changed. To buttress their claim they cited the example of how Warren Buffet missed the tech boom. Today, I know for sure that all of them are nursing their wounds. This is what short-term success does.

Warren Buffet's success till date is due to the fact that he would refrain from buying businesses he did not understand. He would buy stocks which were quoting a discount to their intrinsic value, and he would buy businesses from which he could visualise sustainable earnings over the long term. As the tech stocks did not fit in with these conditions, he stayed away from them.

Case Study on Infosys: September 2000

In 2000, I had done a study on the behaviour of the market valuation of the fundamentals of Infosys Technologies Limited,